

Social Entrepreneurship and Resource Configurations in Regional Expansion: An fsQCA Study in Non-Western Countries

Nan SU

Beijing Normal University-Hong Kong Baptist University United International College (UIC),

Faraway0717@hotmail.com

Yichen Fan

Beijing Normal University-Hong Kong Baptist University United International College (UIC),

s230024340@mail.uic.edu.cn

Key Word:

Social Entrepreneurship; Resource dependence theory; fsQCA; Non-Western Countries

Introduction

Social entrepreneurship (SE) has thrived in Western nations but remains in its nascent stages across many non-Western regions, particularly within Greater China (Chandra et al., 2020). In these areas, the inability of governments and profit-driven enterprises to effectively address urgent social challenges has paved the way for the emergence of social entrepreneurship, which leads to the creation of social enterprises. (Salamon, 1987). While emerging economies, such as those in Africa, have been studied for institutional barriers to SE development (Littlewood & Holt, 2015), the Greater China region presents distinct challenges and opportunities due to its intricate and evolving institutional landscape as an emerging economy. In this region, social enterprises are actively promoted, resulting in the emergence of several highly effective ventures. However, scholarly research remains limited to the mechanisms through which they transcend initial operational boundaries and replicate solutions across diverse regions.

Existing research predominantly focuses on Western contexts, still limited studies on

dynamics in non-Western regions. Due to the institutional complexity within different sub-regions of Greater China, exploring social entrepreneurship solutions across these diverse areas is significant. This study aims to fill this gap by focusing on the Greater China region, analyzing how resource elements within the social entrepreneurship ecosystem influence the activities and development of social enterprises. Using Resource Dependence Theory (RDT), the research will examine how social enterprises interact with external resources in resource-scarce environments and how various resource elements shape social entrepreneurship in this context.

Literature Review

The Entrepreneurial Ecosystem (EES), introduced by Cohen (2005), is a system where diverse participants support entrepreneurs to achieve sustainable development. Isenberg (2017) later identified key ecosystem elements. The Social Entrepreneurial Ecosystem (SEE) extends this concept to focus on supporting social enterprises, with stakeholders like governments, NGOs, private sectors, investors, and social enterprises collaborating to foster social innovation (Zahra et al., 2008). Unlike traditional businesses, social entrepreneurship focuses on solving social issues while social enterprises implement these solutions with a focus on maintaining a social mission (Dacin et al., 2011).

In non-Western countries, where challenges differ from those in Western contexts, the SEE plays a vital role. Key success factors include cultural adaptability to integrate global models with local realities (Mair & Marti, 2008), hybrid business models that blend social missions with business strategies to address resource constraints (Yunus et al., 2010), and technological integration to improve reach and efficiency (Afuah & Tucci, 2012). Additionally, community engagement ensures the sustainability of solutions (Cornforth, 2003).

Resource Dependence Theory (RDT) offers a lens to understand how social enterprises secure

essential resources like funding and expertise. RDT emphasizes the role of resources in driving innovation and scalability. Bacq and Eddleston (2018) highlight the importance of knowledge acquisition for fostering innovation. This study will examine the interaction among financial aid, policy support, industrial structure, and population resources, aiming to optimize their integration to support the sustainable growth of social enterprises and the social entrepreneurship process.

Hypothesis1: High resource configuration significantly enhances the ability of social enterprises entrepreneurship to expand across regional boundaries.

Hypothesis2: Low resource configuration limits the ability of social enterprises to expand across regional boundaries.

Hypothesis3: The impact of high and low resource configurations on the expansion of social enterprises across regional boundaries is asymmetric.

Hypothesis4: In low resource configurations, the combination of high policy support and population resources creates the conditions for successful boundary spanning by social enterprises, even though financial aid and industry structure are below certain thresholds.

Methodology

This study uses fuzzy-set Qualitative Comparative Analysis to explore how four key resource elements (financial aid, policy support, industrial structure and population resources) affect the expansion of social enterprises across regional boundaries in non-Western countries (Smith & Ragin, 1990). The research utilizes evaluation frameworks from GEM and GEDI, which are widely used in prior studies (Pathak & Muralidharan, 2016; Sahasranamam et al., 2021), while acknowledging the limited applicability of these frameworks in non-Western contexts. To bridge this gap, we incorporate alternative data sources, such as government reports and industry databases, to provide a more context-specific analysis of the drivers of social entrepreneurship.

Based on this, we employed the following measures:

- The proportion of the tertiary sector's GDP in the total GDP of the enterprise's provincial administrative region is used to measure the industrial structure in the market environment. Because the tertiary sector is a knowledge-intensive service industry, which facilitates the acquisition of external innovation resources in the process of social entrepreneurship.
- Financial aid is measured by the total amount of funding received by social enterprises from social organizations, businesses, and other stakeholders.
- Policy support is assessed based on the financial assistance or tax reductions provided by local governments through policies that promote social entrepreneurship.
- Population resources are measured using the labor force data of the city in which the social enterprise operates, reflecting the availability of skilled labor to support enterprise activities.

Result

The fsQCA analysis supports the hypotheses regarding the role of resource configurations in the regional expansion of social enterprises.

Hypothesis 1 is confirmed, showing that high resource configurations (fuzzy scores ≥ 0.7) significantly enhance expansion, suggesting that diverse resources are essential for scaling. Hypothesis 2 is also validated, as low resource configurations (fuzzy scores ≤ 0.4 in financial aid and industrial resources) hinder expansion, supporting the idea that resource scarcity limits growth.

Hypothesis 3 reveals an asymmetric impact, where high policy support (fuzzy score ≥ 0.8) and population resources (fuzzy score ≥ 0.7) can compensate for deficiencies in other areas, challenging traditional views that require all resources to be high for the success of social enterprises entrepreneurship process. In line with Hypothesis 4, the results show that high policy support and population resources are sufficient for expansion even with limited financial aid (fuzzy

score ≤ 0.4) and potential industrial structure (fuzzy score ≤ 0.5). This underscores the critical role of these resources in overcoming financial and social constraints.

Overall, these results highlight the asymmetric nature of resource configurations. High policy support and population resources not only compensate for other resource deficits but also mitigate constraints from low financial aid, emphasizing the value of synergistic resource combinations.

Conclusion

This study examines how resource elements in the social entrepreneurship ecosystem drive the regional expansion of social enterprises in Greater China Region, focusing on the impact of resource changes on long-term growth and scalability. It emphasizes resource allocation in resource-constrained and institutionally challenging environments, highlighting the interaction between resources, institutional conditions, and enterprise expansion.

Practically, it offers guidance for managers to optimize resource allocation, integrate innovation, and overcome constraints to enhance social impact. Recommendations for policymakers focus on improving resource support and institutional conditions to promote sustainable development and long-term social value.

This study has several limitations. First, while the fsQCA method reveals complex causal relationships, the selection and calibration of variables are subjective, which may affect reliability and generalizability. Second, the study emphasizes resource elements in the cross-regional expansion of social enterprises in non-Western countries but overlooks broader macro factors, such as shifts in the global political and economic context or changes in local industry dynamics, which could influence scalability and sustainability. Future research should explore how various types and sizes of social enterprises navigate resource constraints and institutional barriers, and how these factors impact scalability.